assets they trade, that is not always the safest place to store the asset long-term.

Cryptoassets are stored in either a hot wallet or cold storage. The *hot* in hot wallet refers to the connection to the Internet. A wallet is hot when it can be directly accessed through the Internet or is on a machine that has an Internet connection. If the innovative investor can access his or her cryptoassets directly through a web browser, or through a desktop or mobile application on a machine where that machine is connected to the Internet, then it's a hot wallet.

Cold storage, on the other hand, means the machine that stores the cryptoasset is not connected to the Internet. In this case, a hacker would have to physically steal the machine to gain access to the cryptoassets. Some methods require that the machine storing the cryptoasset has never touched the Internet. Not once. While that sounds extreme, it is a best practice for firms that store large amounts of cryptoassets. It is not necessary for all but the most security-conscious investor.

What does it even mean to store a cryptoasset? This refers to storage of the private key that allows the holder to send the cryptoasset to another holder of a private key. A private key is just a string of digits that unlocks a digital safe. The private key allows for the holder of that key to mathematically prove to the network that the holder is the owner of the cryptoasset and can do with it as he or she likes.[24] That digital key can be placed in a hot wallet or in cold storage, and there are a variety of services that provide for such storage.